

BarCo Corporation

Supply Chain Optimisation

Under Natural Gas Curtailment

A Linear Programming Approach to Production & Distribution Planning

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Group Z · Botao Huo (25104579) · Shah Misbabun Nur Rupom (26042287)

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Presentation Overview

4 key sections — aligned with assessment criteria

01

Business Problem

Natural gas curtailment context,
federal priority rules & financial risk

02

Analysis Approach

Linear Programming formulation,
model assumptions & methodology

03

Key Results

Production plan, distribution plan,
sensitivity analysis & CO₂ scenario

04

Recommendations

Three evidence-based strategic
recommendations for management

The Business Problem

BarCo Corporation — Natural Gas Curtailment Crisis

Company Profile

- 8 chemical product lines across 3 plants (A, B, C)
- Gas supplier: MaxEnergy (nodes I, J, K)
- Current usage: $85,680 \times 10^3$ cu.ft/day
- Ammonia: gas as raw material (2nd Priority)
- All other products: gas as boiler fuel (3rd Priority)

The Crisis

- ! MaxEnergy warns of natural gas shortages
- ! Extreme heat wave — power plants at full capacity
- ! Rolling brownouts: 20–40% curtailment expected
- ! Based on actual usage (85,680) not contract max (90,000)
- ! MaxEnergy will NOT specify which products to cut
- ! BarCo has flexibility to absorb cuts strategically

Federal Commission Priority Rules

1st Priority

Residential & commercial heating/cooling

2nd Priority

Industrial raw material users ← BarCo Ammonia

3rd Priority

Industrial boiler fuel users ← BarCo (all other products)

Financial Risk at a Glance

Potential daily profit impact across curtailment scenarios

\$611,062

Baseline Daily Profit

\$513,023

20% Curtailment (–16.0%)

\$411,623

40% Curtailment (–32.6%)

\$358,650

50% Curtailment (–41.3%)

Key Insight:

Profit drops LESS than proportionally to gas — a 50% gas cut causes only 41.3% profit drop.

This is the value of smart LP-based prioritisation.

Value of LP-Driven Prioritisation vs. Naive Proportional Cut

- ✓ At 50% curtailment: LP saves ~\$44,000/day vs. a simple proportional cut
- ✓ Annualised value: ~\$16 million per year
- ✓ LP identifies exactly which products to protect and which to cut — the optimal answer, not a guess

Analysis Approach: Linear Programming

The natural mathematical formalism for this problem

Why Linear Programming?

- Linear objective: maximise profit (sum of profit × volume)
- Linear constraints: gas budget, capacity limits
- Continuous decision variables: production in tons/day
- Proven global optimal guarantee via Simplex algorithm
- Transparent, auditable, repeatable decisions
- Sensitivity analysis quantifies uncertainty impact

Model 1: Production LP

Maximise $Z = \sum_j p_j \cdot x_j$

Subject to:

$$\sum_j g_j \cdot x_j \leq G \quad (\text{gas budget})$$

$$0 \leq x_j \leq \text{cap}_j \quad \text{for } j=1..8 \quad (\text{capacity})$$

x_j = daily production (tons) · p_j = profit/ton · g_j = gas/ton · G = gas budget

Model 2: Distribution (Transportation) LP

Minimise $T = \sum_i \sum_j c_{ij} \cdot y_{ij}$

Subject to:

$$\sum_j y_{ij} \leq s_i \quad (\text{supply at node } i)$$

$$\sum_i y_{ij} = d_j \quad (\text{demand at plant } j)$$

$$y_{ij} \geq 0$$

y_{ij} = flow (10^3 cu.ft) · $i \in \{I, J, K\}$ · $j \in \{A, B, C\}$ · c_{ij} = cost/unit

Key Model Assumptions

Conditions under which the LP solution is valid

Linearity

Profit/ton, gas/ton, and cost/ 10^3 cu.ft are constant throughout the planning period — no economies of scale.

Divisibility

Production volumes are continuous real numbers. Rounding to integer tons is operationally trivial at BarCo's scale.

Certainty

All profit, gas, and cost coefficients known with certainty. Sensitivity analysis relaxes this for profit coefficients.

Independent Capacities

Each product line operates independently up to its effective capacity — no cross-product interlocks within a plant.

Uniform Curtailment

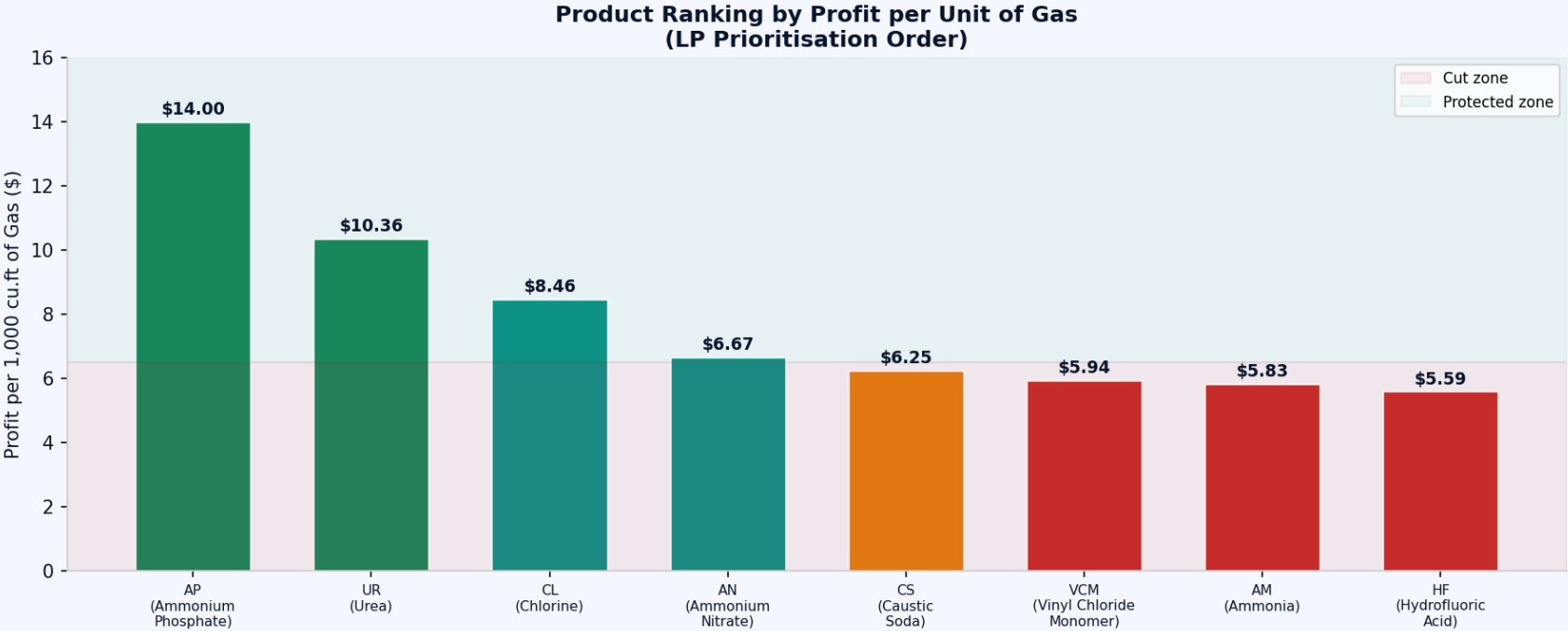
Gas reduction applies equally and proportionally to all three supply nodes (I, J, K), per MaxEnergy notification.

Single-Period

The LP optimises a representative single day. Multi-period inventory dynamics are flagged as a limitation.

Product Economics: The LP's Prioritisation Logic

Profit per unit of gas — this ranking determines the optimal cut sequence



The Key Insight

Always protect:

AP \$14.00 Urea \$10.36
Chlorine \$8.46 AN \$6.67

Cut first:

HF \$5.59 ← first cut
AM \$5.83
VCM \$5.94
CS \$6.25 ← last cut

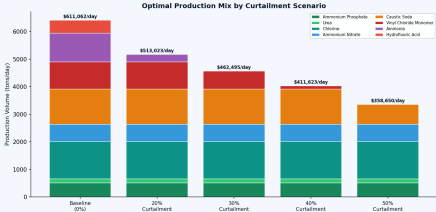
Not a heuristic —
this IS the exact

LP solution!

Production Plan Results

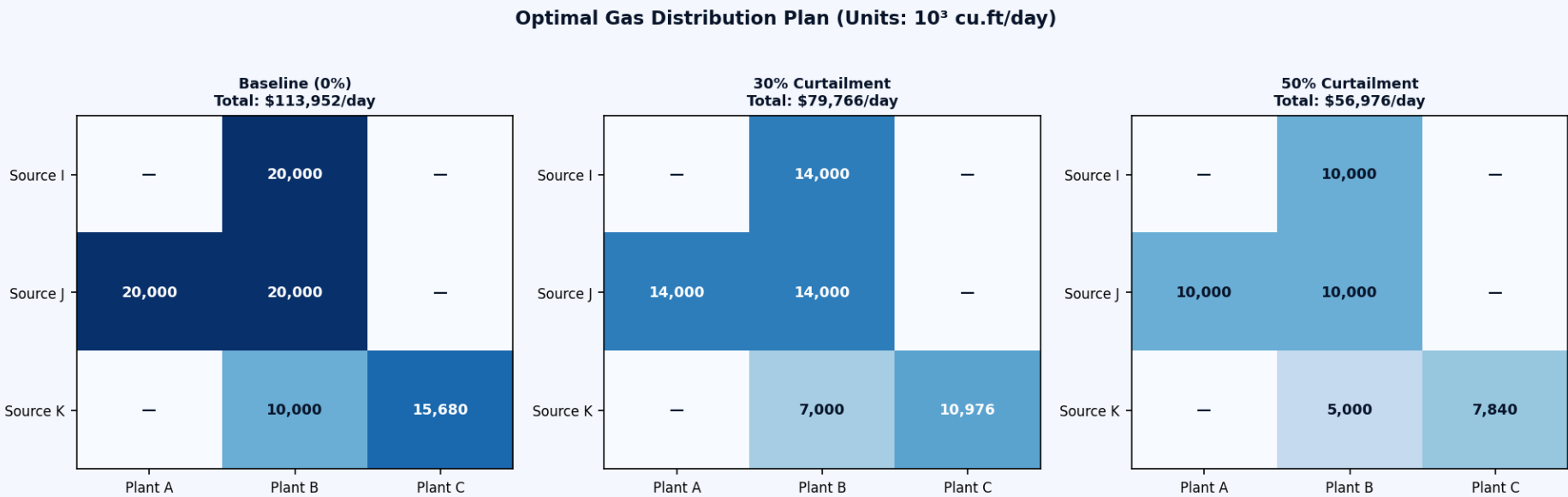
Optimal product mix under each curtailment scenario (LP-derived)

Product	Baseline	20% Cut	30% Cut	40% Cut	50% Cut
Ammonium Phosphate	510	510	510	510	510
Urea	150	150	150	150	150
Chlorine	1,350	1,350	1,350	1,350	1,350
Ammonium Nitrate	630	630	630	630	630
Caustic Soda	1,280	1,280	1,280	1,280	720
Vinyl Chloride Mon.	980	980	651	116	0
Ammonia	1,050	275	0	0	0
Hydrofluoric Acid	461	0	0	0	0
✓ LP protects 4 high-margin products at full capacity even at 50% cut.					
Cut sequence: HF → Ammonia → VCM → Caustic Soda					
VS. Baseline		20.0 %	24.0 %	32.0 %	41.0 %



Distribution Plan Results

Optimal gas allocation: MaxEnergy nodes (I, J, K) to BarCo plants (A, B, C)



Transport Costs (\$/1,000 cu.ft)			
	Plant A	Plant B	Plant C
Src I	\$1.30	\$1.20 ✓	\$1.60
Src J	\$1.20 ✓	\$1.40	\$1.50
Src K	\$1.80	\$1.60	\$1.40 ✓

- 5 active lanes: I→B, J→A, J→B, K→B, K→C | Baseline cost: \$113,952/day
- Structure is INVARIANT under curtailment — only volumes shrink proportionally | Avg unit cost: \$1.33
- Unused lanes I→C (\$1.60) and K→A (\$1.80) — renegotiate for better optionality

Sensitivity Analysis

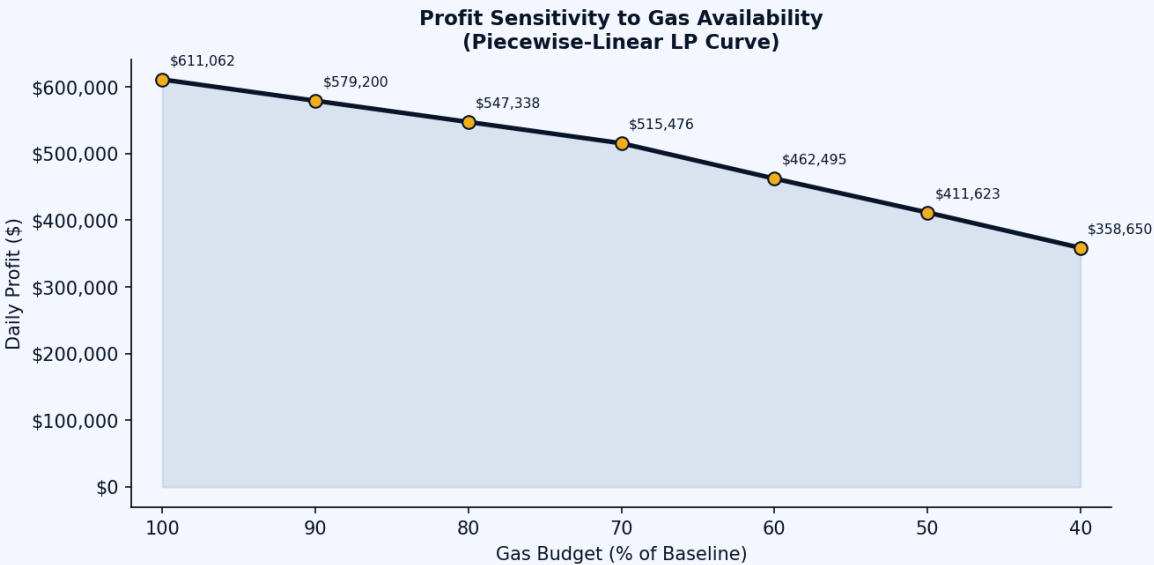
Shadow price of gas & profit robustness under coefficient changes

Shadow Price of Gas Constraint

Scenario	Gas Budget	Marginal Product	Shadow Price
Baseline	85,680	Hydrofluoric Acid	\$5.59/10 ³
20% Cut	68,544	Ammonia	\$5.83/10 ³
30% Cut	59,976	Vinyl Chloride Mon.	\$5.94/10 ³
40% Cut	51,408	Vinyl Chloride Mon.	\$5.94/10 ³
50% Cut	42,840	Caustic Soda	\$6.25/10 ³

Managerial Implication:

Every 1,000 cu.ft of spot gas secured above the curtailed budget is worth \$5.59–\$6.25 in daily profit. This defines the maximum price to pay for emergency gas procurement.

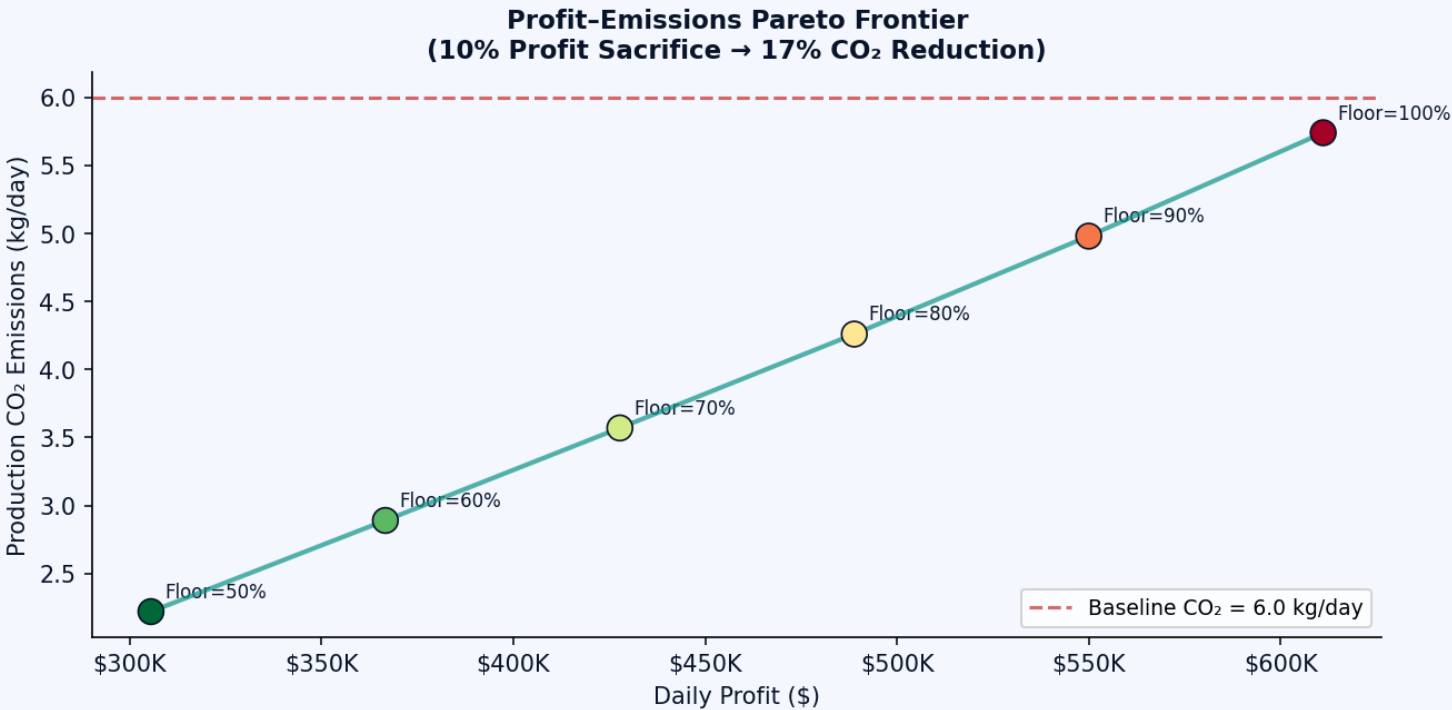


Profit Coefficient Stability

- Protected 4 products: stable within $\pm 20\%$ margin movement — optimal mix unchanged
- Marginal products (HF, AM, VCM, CS): -20% margin removes them from optimal mix
- Rule: $<10\%$ change $\rightarrow$ no action | $10\text{--}20\%$ $\rightarrow$ re-run LP monthly | $>20\%$ $\rightarrow$ re-optimize immediately

Environmental Scenario: Minimising CO₂ Emissions

What if BarCo pursues sustainability alongside profit?



Profit-Emissions Trade-off

Profit Floor	Daily Profit	CO ₂ (kg)	CO ₂ Cut
100%	\$611,062	5.74 kg	4.4% ↓
90%	\$549,956	4.98 kg	17.0% ↓
80%	\$488,849	4.26 kg	29.0% ↓

Key Findings

- At profit-max, CO₂ already 4.4%
- below baseline (ammonia at full cap)
- 10% profit sacrifice → 17% CO₂ cut
- Break-even carbon: ~\$80,000/tonne
- AUS Safeguard today: ~\$30/tonne
- LP ready to activate when prices rise

Strategic Recommendations

Three evidence-based actions for BarCo management — each with quantified value

R1

Implement the LP-Derived Production Priority Rule

Always run AP, Urea, Chlorine, AN at full capacity. Cut sequence: HF → Ammonia → VCM → Caustic Soda.

Value: ~\$16M/year over naive cut | Shadow price: \$5.59–\$6.25/10³ cu.ft = max price for emergency gas

R2

Commit to 5-Lane Distribution Structure

Pre-negotiate volume-flexible contracts: I→B, J→A, J→B, K→B, K→C. No need to re-tender each cycle.

Renegotiate unused I→C (\$1.60) and K→A (\$1.80) for cost optionality | Avg cost locked at \$1.33/10³

R3

Run CO₂-Aware LP in Parallel

Report Pareto trade-off to board each cycle. Production CO₂ already 4.4% below baseline at profit-max.

Activate CO₂-aware variant when AUS carbon price clears ~\$80/tonne | Positions BarCo ahead of regulation

Conclusion

LP transforms curtailment decisions

from reactive, high-pressure guesses into transparent, pre-committed policy

Profit drops sub-proportionally to gas

50% gas cut → 41.3% profit drop · LP saves ~\$16M/year over a naive approach

Shadow price quantifies gas value

\$5.59–\$6.25 per 1,000 cu.ft — the exact ceiling for emergency procurement

Same model supports CO₂ planning

With these three recommendations, BarCo will not only weather the 2026 brownouts — it will build a planning capability fit for a more constrained, carbon-aware future.

Thank you · Questions welcome